Howard Schultz - Building Starbucks Community

Building Community | Analysis and Identification of Strategy which stands out



STARBUCKS™

Group No. - 4
Section - 2

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Summary of the Case

- Schultz grew up in Brooklyn; left a well paying Xerox job
- Found Starbucks on a sales trip to Seattle in 1981
- Started Il Giornale in 1985 and bought Starbucks in 1987
- Fought off hostile investor bid to keep control of the company
- Built culture first environment in company, Stock ownership, conducted open forums for employees
- Grew at 61% CAGR by mid 90s and held off licensing to new stores until quality was solid
- His father’s hardship directly shaped Starbucks’s employee benefits philosophy
- Starbucks doesn't sell coffee, it sells humanity, respect and belonging with coffee as the catalyst

Schultz's Approach: People & Culture as Strategy

Healthcare as the Founding Signal

- First US company to extend coverage to employees at 20 hrs/week
- Traced directly to his father's uninsured injury in 1961
- Framed as brand equity, not benefits cost trust with staff, and an explicit link between shareholder value and cultural values

Voice Built Into the System

- Open Forums: open mic across the company, where criticism of management is expected, not punished
- Contrast with his own Xerox years, where he had no say the policy is a corrective to a felt experience
- Reinforced by stock ownership (Bean Stock) and heavy training investment

Values Codified, Not Assumed

- Mission + six guiding principles: respect and dignity, diversity, quality, customer satisfaction, community, profitability
- Profitability is listed and listed last. Culture is the constraint growth runs inside, not a trade-off against it
- Hire for like-minded values; correct behaviour inconsistent with them

Why This Is Strategy

- Schultz's own diagnosis: no patent and no secret sauce the business model is copyable
- What isn't copyable is culture rooted in front-line staff; a rival would have to start from zero
- Causal chain: satisfied baristas → satisfied customers → the "third place" experience → pricing power and loyalty

Schultz's Approach: Growth Discipline & Structure

Foundation and Values

- **Strategic Foundation:** Schultz wanted to build Starbucks on a solid foundation. He felt that people, systems, and culture will have to come first just like creating a foundation before building floors.
- **Value Alignment:** He looked for people with similar values who had the same vision as Starbucks and a customer-first attitude.
- **Cultural Guidelines:** They provided training to partners to strengthen their values for Starbucks so the company dont compromise on its culture or customer experience while growing rapidly.

Discipline & Scaling

- **Brand Protection:** Schultz mentioned he wanted to protect the Starbucks experience, and he was ready to give up short-term earnings for long-term brand strength.
- **Selective Licensing:** Starbucks operated in airports, hotels, and bookstores only when the partners were able to meet the criteria for service and quality, so licensing became a strategic tool for expansion.
- **Menu Discipline:** The company took time to introduce syrups and non-coffee beverages because there was no real customer demand and the operations team could not support the consistent delivery.

Decentralization & Leadership

- **Local Empowerment:** Starbucks allowed all the executives to make decisions for their local markets but still operate within Starbucks values, which allowed the firm to evolve faster without losing consistency
- **Shared Leadership:** Schultz put together an executive team and shared decision-making power across the team so that the business doesn't rely on one person and the company grows.
- **Bottom-Up Feedback:** Open forums created a channel for partners/employees to bring ideas and concerns to top level, and that feedback derived the company policy, built the culture, and improved employee engagement.

Strategic Learning: Personal & Reflective Sources

- Schultz values were formed from his early-life experiences: Growing up in a poor family and watching his father struggle without healthcare formed a strong belief in employee dignity, respect and security.
- His mother strong values(Believe in America and believe you can do anything you want in America) stayed with him who had high aspirations for life and his kids despite what they were experiencing.
- Personal Experiences: Schultz introduced healthcare coverage for qualified employees because of his childhood experience with his father's lack of healthcare.
- He said it's very important to surround yourself with the right set of people. In this case, Warren Bennis was there with Schultz who guided and taught him showing your values, emotions, and sensitivities is a strength and characteristics that people value.
- As an entrepreneur, one should be able to envision the manifestation of your dream and then paint the picture for others.
- Staying grounded: Schultz stated that staying grounded was a key element in entrepreneurial success as arrogance and hubris can cause failure even if you have a good business idea.
- Learning from others: He surrounded himself with right set of people and experienced partners such as Warren Bennis, Howard Behar and Orin Smith, knowing he couldn't build Starbucks on his own.
- Never define yourself by some prescriptive view that the world has of what success means.
- I loved the way how Schultz wanted the Starbucks to be a model for building a company the right way. Stating that People are hungry for human connections, they want to be valued and respected and part of something larger than ourselves. That's what Starbucks offers and coffee is just the Catalyst for it.

Strategy Learning: Organizational Mechanisms

Open Forums as a Feedback Mechanism

1) Schultz established company-wide "open forums" -- a "open microphone throughout the company" -- at which employees could freely express views on policy and strategy.
2) He specifically noted that people would sometimes come to the mic “angry, disappointed, or upset” about company decisions and the forums were absorbing dissent rather than suppressing it.
3) These became a permanent cultural fixture, embedded into Starbucks as a channel for sharing “thoughts, feelings and ideas” serving as a real-time organizational learning loop that kept leadership in touch with front-line sentiment even as headcount scaled into the thousands.

Backward looking Analysis

1) Schultz noted that most entrepreneurs are “focused only on looking forward” and “very few entrepreneurs look in the rearview mirror.”
2) He purposely assembled a team that could do both -- combining his own forward-looking instinct with people "whose skill base, discipline and natural instinct is to analyze what has been done."
3) This habit of reflection is akin to his personal pattern (reframing his father’s story, Warren Bennis) but on an organizational level, using retrospection as a discipline to stay on course and to correct course during rapid growth, not just to react to it.

Shared Leadership & Delegation

1) Schultz hired Howard Behar (25 years in retail, 10 years older) to run store operations. Behar pressed the company to innovate around the customer experience and pushed the logic of "satisfied baristas → satisfied customers."
2) He brought in Orin Smith, a Harvard MBA, ex-Deloitte & Touche partner as CFO, earnings went positive in 1990 on his watch and Smith eventually became CEO.
3) Schultz was clear that growth is “intoxicating and seductive” and “covers up a tremendous amount of mistakes” — it took people to slow him down and “pick up the pieces” to keep it going because “you can’t get there alone.”
4) He said it was more than delegation, "sharing the stage, the leadership, the responsibility, the spotlight and the victory" because "one person doesn't have enough insight or view of the world."
5) The Behar relationship is one of productive tension: "Howard Behar and I fought all the time, and I love him", fighting was a feature, leading to better decisions.
6) This is consistent with Starbucks' principle of decentralization: regional leaders became "authors of the expansion," not passive executors.

Key Takeaways

Key Takeaways:

- Culture as a strategy, not emotion - In a business without any patents and imitation-friendly products, Schultz created his moat through people: health benefits at 20 hrs/week, partners for employees, and Open Forums were competitive investments rather than HR expenses
- Growth discipline protects the moat - Expansion was consciously staged (foundation -> structure -> floors); Starbucks was not licensing, producing syrups or developing non-coffee beverages until the concept had been proved - and culture scaled up along with the business, rather than trailing behind it
- Strategy learning was deeply personal, not merely analytical - Schultz's father's experience was not an isolated point of inspiration; he became a continuing point of view for trade-offs such as health benefits and equality regardless of background
- Feedback loops and shared leadership minimized key person risk - Open Forums and delegation to leaders like Behar and Smith transformed an individual's intuition into a repeatable organizational practice as Starbucks scaled up worldwide
- Maps to Resource-Based View (RBV) - Starbucks' culture is valuable, rare, difficult to imitate, and non-substitutable (VRIN) - a textbook example of "soft" resources surviving well past the product-driven stage of competitive advantage
- Values/Mission as strategic control system - Mission statement from Exhibit 2 served as the guide for decentralized decision-making allowing local leaders to make consistent decisions autonomously